Compensation Strategy and Organizational Maturity

Organizations are increasingly recognizing compensation as a strategic tool for attracting, retaining, and motivating talent. However, the findings suggest that while many have established structured compensation programs, relatively few have developed highly mature strategies that consistently deliver strong business outcomes.

Defining compensation and total rewards for this survey:

- **Compensation** is the combination of salaries, wages, cash, bonuses and monetary incentives that employees receive.
- **Total rewards** is the combination of financial and non-financial rewards.

In this survey, we typically **emphasize the tangible** (e.g., pay and benefits) more than the intangible (e.g., recognition and flexibility) aspects of total rewards, though we do touch on the latter at times.

Finding: Only 27% of organizations report advanced or innovative compensation maturity

Organizations have made meaningful progress in developing structured compensation and total rewards programs, but most have not yet reached advanced levels of maturity. The largest proportion (39%) describe their compensation approach as intermediate, indicating they have established structured pay programs, equity considerations, and benefits. By comparison, only 27% report having advanced (20%) or innovative (7%) compensation programs, while 33% remain in the undeveloped (8%) or beginning (25%) stages.

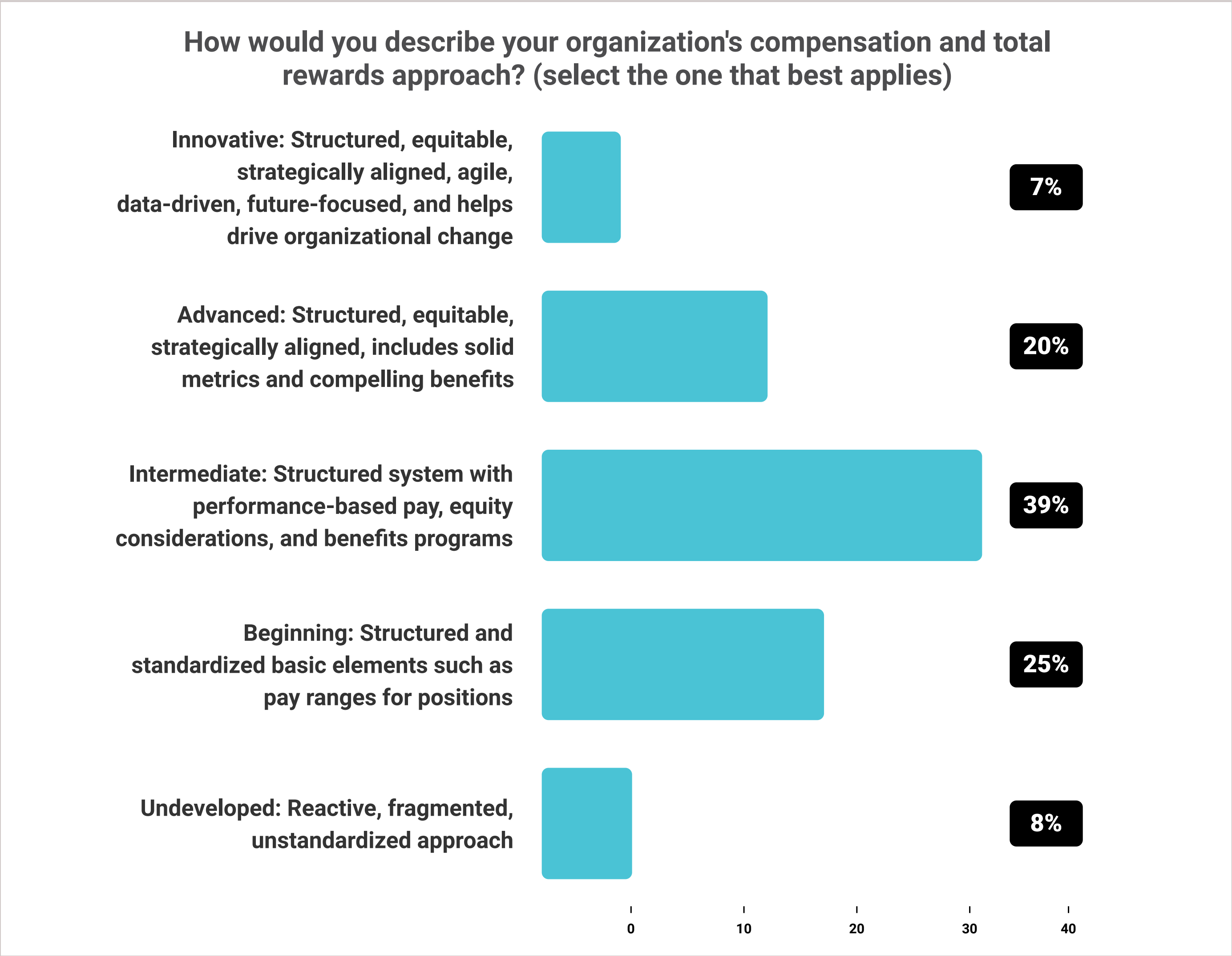
Defining organizational size

For the purpose of this report, large organizations have 1,000 or more employees, midsized organizations have 100 to 999 employees, and small organizations have 99 or fewer employees.

Organizations with less mature compensation programs are more likely to struggle with maintaining market competitiveness, demonstrating pay equity, communicating the value of total rewards, and responding quickly to changing labor market conditions. As employee expectations continue to evolve and pay transparency requirements expand, organizations with fragmented or developing compensation practices may find it increasingly difficult to attract and retain critical talent.

Differences by organizational size

Compensation maturity generally increases with organizational size. More than one-third of large organizations report having advanced or innovative compensation and total rewards strategies (38%), compared with 26% of midsized organizations and 23% of small organizations.



Note: Numbers do not add up to 100% due to rounding.

To garner a better understanding of what may be driving effective compensation and rewards practices today, we wanted to take a closer look at what separates organizations with mature compensation and rewards practices from those with less mature practices. To do this, we divided respondents into two cohorts:

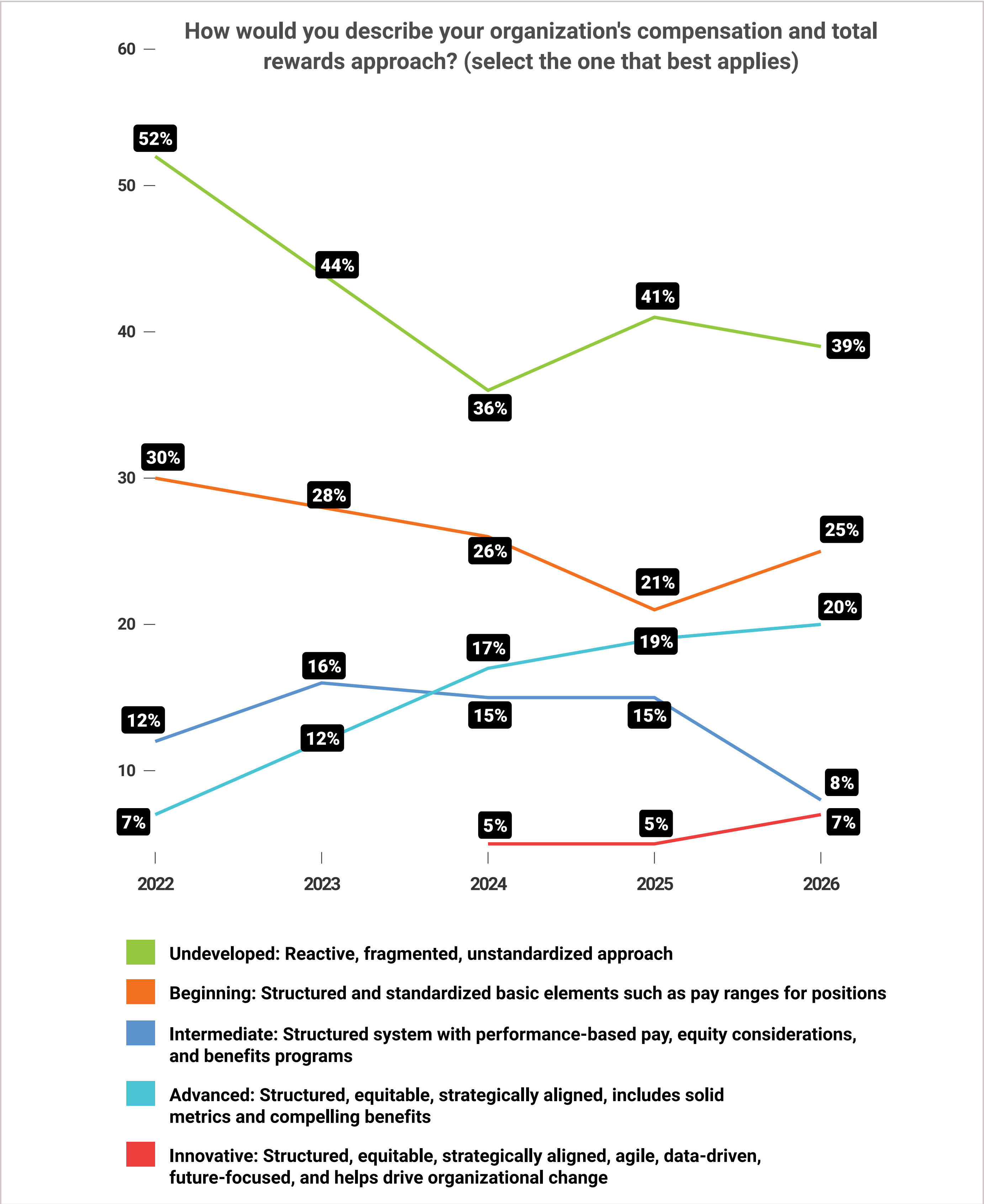
- **TR leaders:** These organizations represent respondents who answered “advanced” or “innovative” to the survey question, “How would you describe your organization's compensation and total rewards approach?”
- **TR laggards:** These organizations represent respondents who answered “undeveloped” or “beginning” to that same question.

Correlation does not mean causation, of course. However, based on these analyses, organizations that want to improve their compensation strategies might benefit from understanding what some possible best practices look like.

Longitudinal analysis: Organizations continue progressing toward more mature compensation strategies

Across the comparable years, organizations show an overall movement toward more advanced compensation practices; however, the pattern is not consistent in every year. Organizations reporting an "Advanced" approach rose from 7% (2022) to 20% (2026). Concurrently, "Undeveloped" reactive approaches decreased from 12% (2022) down to 8% (2026). While "Intermediate" performance- and equity-focused models initially accounted for 52% (2022) of organizations, they stabilized at 39% (2026) as more employers evolved into advanced or innovative structures.

This transformation may reflect heightened executive awareness of compensation and total rewards as a critical driver of organizational change, accelerated by economic pressures and shifting labor dynamics.



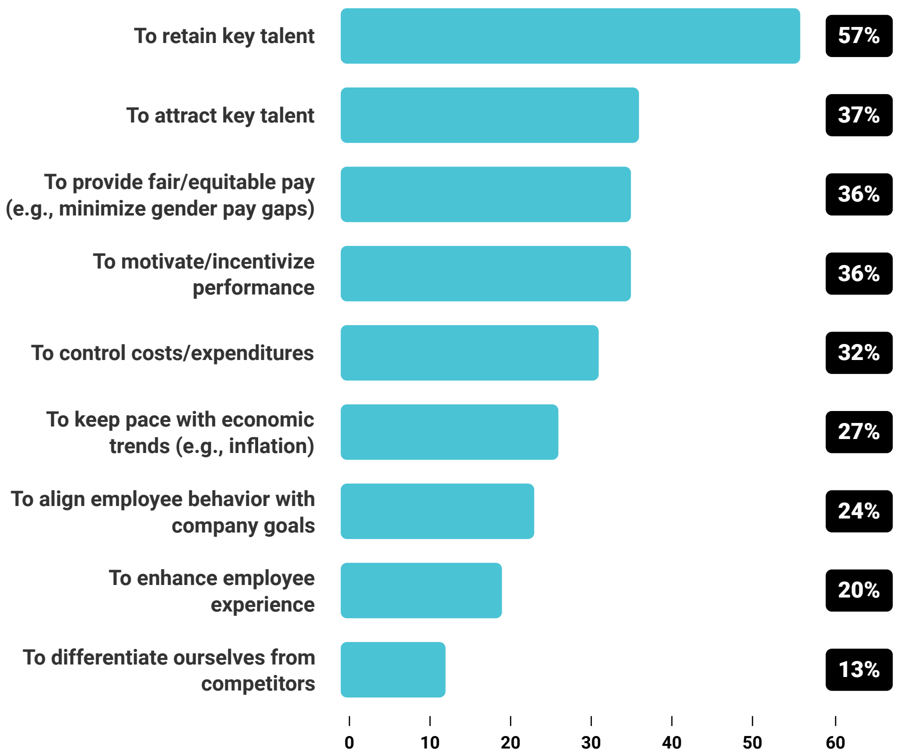
Note on Methodology: In 2022 and 2023, "Innovative" was not reported as a standalone option in the survey and was captured alongside "Advanced," whereas from 2024 through 2026 it was reported as a distinct top-tier maturity category.

Finding: Talent retention remains the primary objective of compensation strategies

Compensation strategies are evolving as organizations respond to changing workforce and business needs. Over two-fifths (43%) report making significant changes to their overall compensation strategy within the past two years, including 18% within the past year and 25% within the previous one to two years. Changes to specific compensation practices have occurred even more frequently, with 59% updating these programs during the same period.

Talent remains the primary driver of compensation strategy. More than half (57%) identify retaining key talent as a top objective, followed by attracting key talent (37%), motivating employee performance (36%), and providing fair and equitable pay (36%). These priorities reflect the challenge of balancing workforce expectations with financial sustainability.

Of the following objectives driving compensation and total rewards strategy, which three do you believe are most important for your organization today? (select up to three)

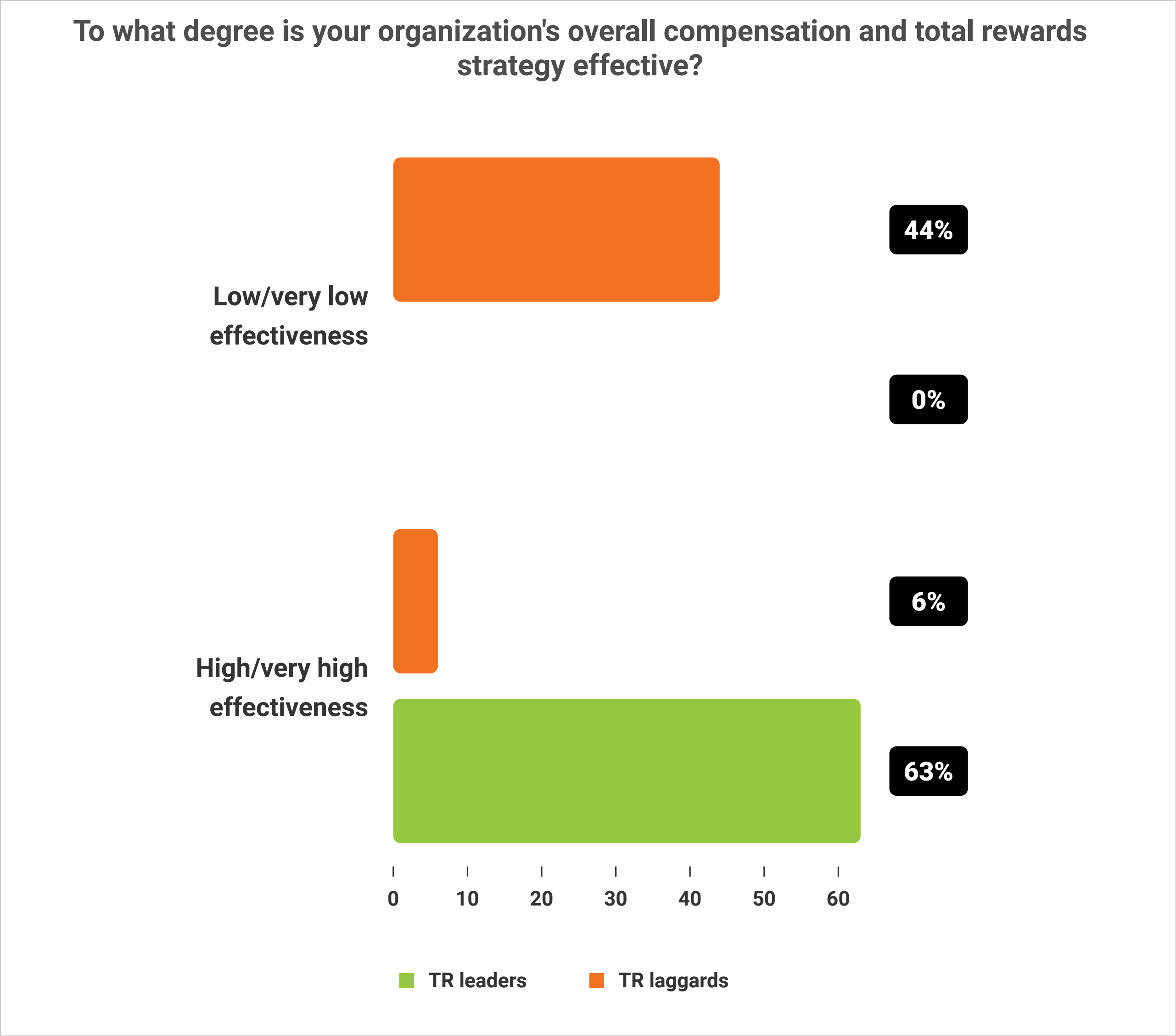


Results of Chi-square Test

A chi-square test of independence shows that TR leaders are much more likely than TR laggards to have an effective compensation and total rewards strategy.

Finding: TR leaders are more than ten times more likely than TR laggards to report highly effective compensation strategies

Nearly two-thirds (63%) of TR leaders rate their compensation strategy as highly or very highly effective, compared with just 6% of TR laggards. Conversely, 44% of TR laggards report low or very low effectiveness, while none of the TR leaders fall into these categories.



Note: effective means your organization is getting the desired impact based on its goals (e.g., retention, engagement, cost control).

HRRI Strategic Recommendations

Based on our research, consider the following suggestions:

- **Continue building a more strategic compensation program.**
  Only a small percentage of organizations have advanced or innovative compensation strategies, yet these organizations are far more likely to report highly effective compensation programs. Assess your current approach, identify the biggest gaps, and develop a plan to strengthen your compensation program over time. Focus first on the areas that will have the greatest impact, such as aligning compensation with business priorities, improving market competitiveness, or strengthening decision-making.

- **Make retention and competitiveness central to your compensation strategy.**
  The findings show that retaining employees and maintaining competitive pay are the top drivers of compensation decisions. Review your compensation strategy regularly to ensure it reflects current labor market conditions and supports your organization's ability to attract and retain talent. Use market data, turnover trends, and employee feedback to guide compensation decisions instead of reacting only when hiring or retention becomes a problem.

- **Review and update your compensation strategy regularly.**
  Nearly six in ten organizations have updated their compensation strategy within the past two years, reflecting the need to respond to changing business conditions and employee expectations. Establish a regular review process, such as an annual or semiannual review, to evaluate whether your compensation strategy still supports organizational goals, reflects market conditions, and meets workforce needs.

- **Make compensation decisions using reliable data.**
  Organizations with more mature compensation strategies are much more likely to report successful outcomes. Support compensation decisions with reliable information such as salary surveys, labor market trends, internal pay data, and workforce metrics. Using data consistently can help improve fairness, competitiveness, and confidence in compensation decisions.

- **Measure whether your compensation strategy is delivering results.**
  A compensation strategy should be evaluated by the outcomes it achieves, not simply by whether salary budgets are met. Track measures such as employee retention, offer acceptance rates, turnover in key roles, pay competitiveness, and employee perceptions of fairness. Review these measures regularly and use the results to adjust your compensation strategy as business and workforce needs evolve.